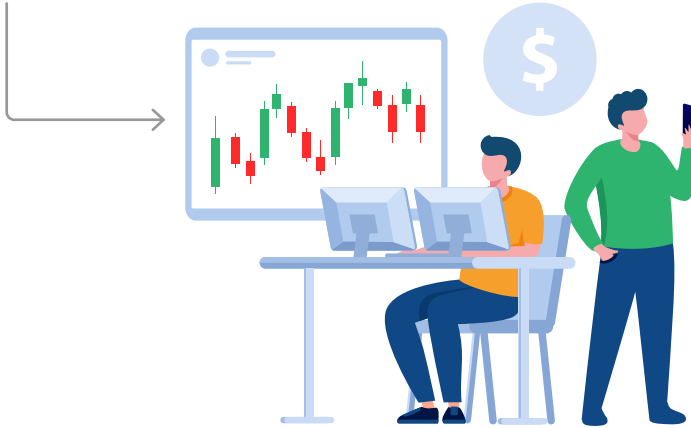


7.2 Dos and Don'ts of Options Trading

I strongly recommend that every trader internalise the following dos and don'ts. They will help you navigate the complexities of options trading effectively and enhance your chances of success.



7.2.1 Dos and don'ts for option buyers

Dos

- Buy options near the **strike price**.
- During **the mid-week**, consider **slightly OTM options** or strategies like spreads.
- **Near expiry**, focus on **nearby strikes**. You can also employ advanced strategies like **ratio spreads, ladders, or butterfly spreads**.

Don'ts

- **Avoid deep out-of-the-money or OTM strikes** as their profitability has a lower probability.
- **Avoid in-the-money or ITM options** since they can be expensive and prone to higher premium decay.